closing industry. Adoption of such an industrial policy in 2021 could have been the 2021 moment of industrial policy development. This policy is necessary to get India completely out of the rut of low manufacturing and industrial growth and put the nation on course to build a $10 trillion economy in the next fifteen years, by 2035.

Bringing Technological Renaissance in Indian Industry

Technology keeps evolving, which makes machines perform better in terms of cost and quality of product. A machine is not a permanent asset in itself. It is only an asset as long as it produces goods competitively; when another machine produces better goods in a more cost-effective manner, the old machine becomes obsolete.

In the planned era, this truth evaded our policymakers, planners and the public sector. The planned economy was based on the mechanical assumption that capital formation drives growth in the incremental capital output mode. Most cutting-edge technology did not evolve in India as there was no private-sector incentive in operation. In fact, the licencing system dissuaded the replacement of obsolete technology with new technology. As a result, Indian industry, in both the public and private sectors, kept becoming increasingly inefficient and non-competitive.

The absurd policy of persisting with a technology/machinery even after it became redundant led to the spread of sickness in industry. Instead of accepting the business logic of creative destruction—a new technology makes the underlying asset more valuable by producing goods and services cheaper—we decided to perpetuate the sickness by following policies and creating institutions to ‘revive’ sick units by offering financial concessions, which only shifted the cost of sickness to the government and banks.

The technology-related policy framework improved in Industry 2.0. The Sick Industrial Companies Act (SICA) was abolished. Competition, both domestic and international, was allowed in the production of goods and